



PHOTOS BY **MANDAR DEODHAR**

reduce their borrowing costs for working capital as well as fresh investment given their lending rates are repo-linked. In addition, RBI's significant liquidity infusions will help in transmission to MCLR-linked rates, and my presumption is that overall transmission to Weighted Average Lending Rates will be quicker in this cycle.



There seems to be demand moderation

and private consumption is yet to pick up fully. Do you expect a pick-up in private consumption this fiscal?

The fiscal support through tax relief for a significant segment of taxpayers (and households) was a pre-emptive demand augmentation measure. The government has been very responsive both to emerging economic trends as well, in my understanding, to industry feedback, and needs to

be complimented on this. This is a whole-of-government effort, including monetary policy. Given this, I remain optimistic on a pick-up in private sector investment, particularly as the global trade uncertainty settles down.



With crude prices seen to trend low and prospects of a normal monsoon, are inflationary pressures a thing of the past for now?

As of now, price trends in various commodities groups suggest optimism on inflation. Even if a hot summer increases vegetable prices over the next couple of months, there is room for headline inflation to remain durably close to 4%. Monsoon forecasts, broader El Niño trends, and other meteorological signals indicate optimism on conducive weather conditions. Rabi procurement has been good and cereal stocks remain comfortable.